

**FEDERAL MARITIME COMMISSION**  
**Office of Administrative Law Judges**

INTERMODAL MOTOR CARRIERS CONFERENCE, AMERICAN  
TRUCKING ASSOCIATIONS, INC., *Complainant*

v.

OCEAN CARRIER EQUIPMENT MANAGEMENT ASSOCIATION  
INC.; CONSOLIDATED CHASSIS MANAGEMENT, LLC;  
CMA CGM S.A.; COSCO SHIPPING LINES CO. LTD.;  
EVERGREEN LINE JOINT SERVICE AGREEMENT, FMC NO.  
011982; HAPAG-LLOYD AG; HMM CO. LTD.; MAERSK A/S;  
MSC MEDITERRANEAN SHIPPING COMPANY S.A.;  
OCEAN NETWORK EXPRESS PTE. LTD.; WAN HAI LINES LTD.;  
YANG MING MARINE TRANSPORT CORP.; AND  
ZIM INTEGRATED SHIPPING SERVICES, *Respondents*.

**DOCKET NO. 20-14**

Served: January 29, 2021

---

**ORDER OF:** Erin M. WIRTH, *Chief Administrative Law Judge*.

---

**ORDER DENYING RESPONDENTS' MOTION FOR LEAVE TO FILE INTERLOCUTORY APPEAL**

**I. INTRODUCTION**

On November 18, 2020, an order was issued denying Respondents' motion to dismiss ("Dismissal Order"). On December 3, 2020, Respondents filed a motion seeking leave to file an interlocutory appeal and to stay the proceeding, a memorandum of law in support of the motion for leave to appeal ("Motion"), and an appeal of certain portions of the order denying the motion to dismiss. On December 18, 2020, Complainant filed a memorandum of law in reply to Respondents' motion ("Opposition") and a reply to the appeal.

Respondents seek leave to appeal those portions of the dismissal order denying the motion to dismiss on the basis of a lack of subject matter jurisdiction and failure to join necessary parties. Motion at 1. Respondents assert that the dismissal order involves controlling questions of law as to which there is a substantial ground for difference of opinion; an appeal is necessary to prevent substantial expense to the parties; an appeal is in the public interest; and the proceeding should be stayed pending the outcome of the appeal. Motion at 3-8.

Complainant contends that the Commission's jurisdiction extends to conduct affecting receipt and delivery of cargo under through rates and port-to-port rates, and to conduct burdening port and terminal efficiency; intermodal equipment providers ("IEPs") are not indispensable

parties to this action; and the proceedings should not be stayed pending an appeal. Opposition at 3-10.

As explained below, Respondents' motion for leave to file an interlocutory appeal is denied. The request to stay is denied as moot. Respondents shall file their response to the complaint by February 18, 2021. The parties shall file a joint status report with proposed schedule by March 1, 2021

## **II. MOTION FOR LEAVE TO FILE INTERLOCUTORY APPEAL**

### **A. Overview**

Respondents' motion for leave to appeal is filed pursuant to Commission Rule 221, which states:

(a) Rulings of the presiding officer may not be appealed prior to or during the course of the hearing, or subsequent thereto, if the proceeding is still before him or her, except where the presiding officer finds it necessary to allow an appeal to the Commission to prevent substantial delay, expense, or detriment to the public interest, or undue prejudice to a party.

46 C.F.R. § 502.221(a). "Unless otherwise provided, the certification of the appeal will not operate as a stay of the proceeding before the presiding officer." 46 C.F.R. § 502.221(d).

The Commission has recognized that it is an "extraordinary step" to grant leave to petition the Commission "to overturn the ALJ's jurisdictional ruling denying [a] motion to dismiss." *Inlet Fish Producers, Inc. v. Sea-Land Service, Inc.*, 29 S.R.R. 306, 315 [(FMC 2001)]. The Commission has also held that it is appropriate to look to the procedures established for the district courts for guidance in determining whether an interlocutory appeal is appropriate. See *Amzone International, Inc. v. Hyundai Merchant Marine Co.*, 27 S.R.R. 386, 389 [(FMC ]1995) ("[I]nterlocutory appeals are permissible if a district judge certifies that an otherwise unappealable order ' . . . involves a controlling question of law as to which there is substantial ground for difference of opinion and that an immediate appeal from the order may materially advance the ultimate termination of the litigation . . . .' 28 U.S.C. § 1292(b).").

*Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 31 S.R.R. 1432, 1441, 2010 FMC LEXIS 43, at \*29 (ALJ 2010).

In *Mitsui*, the ALJ granted leave to appeal the portion of an order denying a motion to dismiss which found that the Commission has jurisdiction under the Shipping Act of the inland portion of multimodal through transportation. *Mitsui*, 31 S.R.R. at 1434, 2010 FMC LEXIS 43, at \*1. The ALJ in *Mitsui* found that "the Commission's jurisdiction over the inland portion of through transportation is a controlling question of law" and that "grounds for difference of opinion are not insubstantial" because the Commission had not had "the opportunity to express its views on this subject in a formal proceeding since the Supreme Court issued its decisions in *Kirby* and "*K*" *Line*." *Mitsui*, 31 S.R.R. at 1442-43, 2010 FMC LEXIS 43, at \*35-36.

On appeal, the Commission in *Mitsui* found that:

Given congressional intent that the Commission have jurisdiction over through intermodal transportation, including the inland segment of the through transportation, and the Commission's acknowledgment of this jurisdiction, Olympus' argument that section 10(a)(1) of the Act proscribes certain activities with respect to ocean transportation only, and therefore does not apply to the practice of re-routing the domestic inland segment of a through movement, is not persuasive.

*Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 32 S.R.R. 126, 133, 2011 FMC LEXIS 12, at \*19 (FMC 2011).

This decision relies on the complaint and the documents referenced therein. The case cited by Respondents, when discussing the difference between a facial and factual challenge to jurisdiction, states: “[i]n a facial attack, we review only ‘the allegations of the complaint and documents referenced therein and attached thereto, in the light most favorable to the plaintiff.’” However, if the defendant contests the pleaded jurisdictional facts, ‘the court must permit the plaintiff to respond with evidence supporting jurisdiction.’” *Schuchardt v. President of the United States*, 802 Fed. Appx. 69, 71 (3d Cir. 2020) (citations omitted). Respondents here, however, do not identify specific jurisdictional facts they contest, beyond the commercial interest of Complainant, and have not provided evidence supporting their arguments. To the extent that there may be factual disputes, those are best resolved by moving forward with discovery.

As discussed below, although the question of subject matter jurisdiction is a controlling question of law, there is not a substantial ground for difference of opinion and an immediate appeal would not materially advance the disposition of the litigation. The Commission has indicated that it has jurisdiction over the domestic inland segment of a through movement and nothing presented by Respondents provides a substantial ground for difference of opinion. In addition, although it is not clear that chassis providers are necessary parties, even if they were, those parties are not indispensable and there is not a substantial ground for a difference of opinion that the case may proceed. Moreover, an appeal is not necessary to prevent substantial delay, expense, detriment to the public interest, or undue prejudice to a party.

## **B. Controlling Question of Law with Substantial Ground for Difference of Opinion**

### **1. Subject Matter Jurisdiction**

Respondents assert that subject matter jurisdiction is a controlling question of law with a substantial ground for difference of opinion. Motion at 3. Specifically, Respondents contend that “the Commission lacks subject matter jurisdiction over the relationship between ocean carriers and truckers,” relying primarily on the ALJ decision in *Pro Transport*. Motion at 3 (citing *Pro Transport, Inc. v. Seaboard Marine of Florida, Inc. and Seaboard Marine Ltd., Inc.*, FMC Docket No. 16-12 (ALJ April 26, 2017) (“ALJ Decision”)). Complainant responds that “this assertion is irrelevant because no contracts between motor carriers and ocean carriers are at issue in this proceeding.” Opposition at 5.

In *Pro Transport*, the ALJ Decision granting a motion to dismiss for lack of subject matter jurisdiction was not reviewed by the Commission at the request of the parties, who had settled the FMC case and a related case. *Pro Transport*, FMC Docket No. 16-12, Joint Letter Regarding Status (May 2, 2017). Thus, the precedential value of this decision is limited.

In *Pro Transport*, the amended complaint alleged a commercial dispute over payment of 128 invoices between domestic trucking company Pro Transport and Respondent Seaboard. *Pro Transport*, ALJ Decision at 7-8. The decision explained:

Pro Transport was a supplier under contract to provide trucking services to Seaboard. Any agreement between Pro Transport and Seaboard for domestic trucking services was not reviewable by the Commission. “Suppliers, shipyards, sales agents and a wide variety of business enterprises have commercial relationships with ocean carriers and may have commercial disagreements with them. That does not mean the Federal Maritime Commission is the forum to resolve those disagreements.” *Sea-Land Dominicana*, 26 S.R.R. at 584 (concurrence). Not only is there another forum available, but Pro Transport filed a proceeding against Seaboard in Dade County, Florida, on July 27, 2016, shortly after filing this action.

*Pro Transport*, ALJ Decision at 10. The complaint in *Pro Transport* was dismissed based upon the type of agreement and dispute at issue, not based upon the identity of the complainant.

In *Sea-Land Dominicana*, the Commission dismissed for lack of subject matter jurisdiction a complaint against a carrier by its sales representatives, finding that the “language of the substantive provisions of the statute fails to indicate any intention that the Commission assert jurisdiction over the matters here in controversy,” that the agreement was not one subject to Commission jurisdiction, and that there were no adverse effects on shippers alleged. *Sea-Land Dominicana, S.A. v. Sea-Land Service, Inc.*, 26 S.R.R. 578, 1992 FMC LEXIS 118, at \*18-22 (FMC 1992). The Commission stated in that case:

We do not here decide whether we could ever reach any actions by carrier or other regulated entities against sales representatives. If, for example, an effect upon the shipping public were shown, a sufficient nexus might exist between the regulated carriers and the interests the agency is intended to protect to support an assertion of subject matter jurisdiction.

*Sea-Land Dominicana*, 26 S.R.R. at 583, 1992 FMC LEXIS 118, at \* 21.

The complaint *sub judice* does not cite any terms of contracts between ocean carriers and trucking companies, but rather cites terms in FMC agreements among ocean carriers, including

the OCEMA agreement,<sup>1</sup> CCMP agreement,<sup>2</sup> and CCMP operations manual.<sup>3</sup> It is alleged that through these and related agreements, ocean carriers affect and exert control over chassis availability, implying that they may be effectively functioning as a standard setting organization.<sup>4</sup>

This collaboration among competitors began with the OCEMA agreement, initially filed with the Commission as FMC Agreement No. 011284, effective July 6, 1990, and has expanded since then. Complaint at 16-18. The CCMP agreement states that the “purpose of the Agreement is to provide for a cooperative working arrangement pursuant to the Shipping Act of 1984, as amended, for the formation and operation of local, metropolitan, and/or regional chassis pools” and that the geographic scope of the agreement “shall include Marine Terminals and Inland Intermodal Terminals located within the United States at which containers moving to or from Marine Terminals in the foreign commerce of the United States, or chassis which transport such containers, are received, delivered, handled, stored, repaired, maintained, loaded, unloaded, inspected, or interchanged.” CCMP Agreement at 3-4.<sup>5</sup>

Complainant requests relief from provisions in the CCMP operations manual, adopted pursuant to the CCMP agreement, FMC Agreement No. 011962, which authorizes the parties “to meet, discuss, exchange information and data, negotiate, and agree upon all matters related to the establishment, operation and use of Chassis Pools including but not limited to . . . operating rules.” Complaint at 6, CCMP Agreement at 5.

In this proceeding, Respondents’ arguments focus on whether the Commission has jurisdiction over the relationship between ocean carriers and truckers. This focus is misplaced as the complaint does not object to contracts between specific trucking companies and individual ocean carriers but rather contests industry-wide agreements among regulated entities filed with the FMC. In contrast to *Sea-Land Dominicana*, this complaint objects to regulations and practices regarding the receiving, handling, storing, and delivering of property, subjects

---

<sup>1</sup> Ocean Carrier Equipment Management Association, FMC Agreement No. 011284, available at: [www2.fmc.gov/FMC.Agreements.Web/Public/AgreementHistory/1560](http://www2.fmc.gov/FMC.Agreements.Web/Public/AgreementHistory/1560). Complaint at 16.

<sup>2</sup> Consolidated Chassis Management Pool Agreement, FMC Agreement No. 011962-016, available at [www2.fmc.gov/FMC.Agreements.Web/Public/AgreementHistory/454](http://www2.fmc.gov/FMC.Agreements.Web/Public/AgreementHistory/454). Complaint at 17.

<sup>3</sup> CCMP Operations Manual, Version 4.2 (July 20, 2020), available at [www.ccmpool.com/UploadedDocuments/Membership/Resources/LEGAL-45198472v1-CCMP-Ops-Manual-v42.pdf](http://www.ccmpool.com/UploadedDocuments/Membership/Resources/LEGAL-45198472v1-CCMP-Ops-Manual-v42.pdf). Complaint at 22.

<sup>4</sup> See, e.g., *Allied Tube & Conduit Corp. v. Indian Head*, 486 U.S. 492, 500 (1988) (“Typically, private standard-setting associations . . . include members having horizontal and vertical business relations. There is no doubt that the members of such associations often have economic incentives to restrain competition and that the product standards set by such associations have a serious potential for anticompetitive harm. Agreement on a product standard is, after all, implicitly an agreement not to manufacture, distribute, or purchase certain types of products.”) (citations omitted).

<sup>5</sup> Page numbers used herein assume every page, including the title page, has a number.

specifically regulated by section 41102(c), implemented pursuant to Commission approved agreements, where adverse effects on shippers are alleged.

Complainant's focus on efficiency may also be misplaced. While the Commission may have an interest in efficiency, it will be Complainant's obligation to establish that the regulations and practices are unreasonable, not Respondents' obligation to establish that the practices are the most efficient. The parties may want to consider the appropriate scope of the relevant market, whether there are multiple relevant markets, and the harm to competition. *See, e.g. All Marine Moorings, Inc. v ITO Corp.*, 27 S.R.R. 539, 546, 1996 FMC LEXIS 68, at \*33-36 (FMC 1996); *River Parishes Co. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 1999 FMC LEXIS 32, at \*71 (FMC 1999) ("To analyze whether an exclusive arrangement is prima facie unreasonable under the 1984 Act, the Commission must first determine the market relevant to the practice in question, and then must determine the degree of actual harm or harm likely to be caused by the practice within that market. Such analyses consider the particular commercial, physical, and competitive factors which together may make a practice unreasonable.").

For a number of years, the Commission has been conducting fact finding and notice and comment rulemaking, "in an attempt to reconcile shipper and trucker complaints about ocean carrier and maritime terminal operator demurrage and detention practices." *Interpretive Rule on Demurrage and Detention under the Shipping Act*, 85 Fed. Reg. 29,638, 29,639 (May 18, 2020) ("Demurrage Rule"). While the focus of this rule is on demurrage and detention practices, and only briefly discusses chassis availability, it is clear that issues between ocean carriers, truckers, and shippers are of concern to the Commission. *Demurrage Rule*, 85 Fed. Reg. at 29,649-50. Moreover, this rulemaking provided the Commission an opportunity to comment on chassis supply models.

Ocean carriers sought the protection and benefits of FMC-approved agreements over the last thirty years and now that regulations and practices adopted pursuant to their authority are contested, the ocean carriers claim that the FMC lacks jurisdiction. This argument is not persuasive. Indeed, it is unlikely that the parties' challenges to these FMC agreements and related regulations could be heard anywhere else.

While Respondents are correct that subject matter jurisdiction is a controlling question of law, there is not a substantial difference of opinion. The Commission has jurisdiction over Respondents, who are regulated entities. The Commission also has subject matter jurisdiction over the OCEMA and CCMP agreements which authorize the operating rules at issue. Moreover, to the extent that agreements between regulated entities implement regulations and practices regarding the receiving, handling, storing, and delivering of property that are shown to violate the Shipping Act, the Commission has jurisdiction over those claims. There is not a substantial difference of opinion regarding the extent of this jurisdiction and an appeal would not be likely to resolve the proceeding. Accordingly, this factor does not support granting leave to appeal this ruling.

## 2. Necessary and Indispensable Parties

Respondents assert that failure to join necessary parties is a controlling issue of law with respect to this case and that “the relief sought by Complainant would require revisions to contracts between Respondents and third parties not subject to the Commission’s jurisdiction, and that the inability to join these third parties requires dismissal of the proceeding under F.R.C.P. 19.” Motion at 4. Complainant contends that there is no substantial ground for disagreement as to the denial of mandatory joinder of the IEPs and that “IEPs cannot be necessary parties since none of the requested relief requires their participation.” Opposition at 6.

There is not a substantial ground for disagreement regarding the standard for evaluating indispensable parties. As discussed in the dismissal order, determining whether absent parties are indispensable requires a two-step analysis. The first step is to determine if the absent parties are necessary pursuant to Federal Rule 19(a). If the parties are necessary but joinder is not feasible, then the second step is to determine whether the parties are indispensable pursuant to Rule 19(b). Fed. R. Civ. Proc. Rule 19; *Dawavendewa v. Salt River Project Agric. Improvement and Power Dist.*, 276 F.3d 1150, 1155 (9th Cir. 2002).

In the primary case relied on by Respondents, *All Marine*, an amendment was allowed to join the Maryland Port Administration (“MPA”) where the MPA’s absence “could impede a proper decision” and joinder was feasible. *All Marine Moorings, Inc. v. ITO Corp.*, 26 S.R.R. 1396, 1396 (ALJ 1994) (Notice of Rulings Made at Prehearing Conference). *All Marine* did not involve a motion to dismiss and the joinder was for a regulated entity, so it is not similar to this proceeding. This case is also not similar to *Dawavendewa*, where tribal sovereign immunity rights, a compelling interest, would be impacted by the requested relief. *Dawavendewa*, 276 F.3d at 1161-63.

It is not clear that chassis providers are necessary parties. The complaint focuses on the OCEMA and CCMP agreements, CCMP operations manual, and ocean carrier regulations and practices, and not on contracts between ocean carriers and chassis providers. Indeed, the complaint does not cite provisions in chassis provider contracts and no contracts between ocean carriers and chassis providers are currently part of the record.<sup>6</sup> The complaint does discuss the “multiple business models by which chassis may be provided” which suggests that there may be relevant factual differences. Complaint at 13-14. Moreover, removing a CCMP operations manual rule requiring certain provisions in contracts would not necessarily make those provisions immediately unenforceable, but would instead allow competition as to those provisions when contracts are renegotiated.

---

<sup>6</sup> Respondents stated in their initial memorandum in support of motion to dismiss at 18 n.8 that: “While all ocean carrier respondents have contracts with chassis providers, the terms and provisions of these contracts vary from carrier to carrier, as do the chassis-related practices of each carrier. However, for purposes of this motion to dismiss, the factual allegations contained in the Complaint . . . are accepted as true, which means for purposes of this motion that the contracts would need to be amended.”

It is possible that this proceeding could have an impact on ocean carrier contracts with chassis providers if a violation of the Shipping Act is found. However, even if chassis providers are necessary parties under Federal Rule 19(a), the analysis does not stop there. Federal Rule 19(b) provides factors for a court to consider in determining if an action can proceed even if necessary parties cannot be joined.

The indispensability analysis balances various interests based on the particular facts of each case. The inquiry is flexible and pragmatic. Some courts have voiced the opinion that they prefer not to dismiss for nonjoinder. Any such preference simply recognizes that dismissal is by nature a disruptive event that should not be ordered routinely. Obviously, dismissal should be ordered if the court decides that equity and good conscience require it. The issue of whether to proceed or dismiss is vested in the sound discretion of the district judge, whose conclusion will be upheld unless it constitutes an abuse of discretion.

4 Moore's Federal Practice - Civil § 19.05 (2020) (citations omitted).

In a case where the defendant argued that the City of Memphis was a necessary party because of a risk of incurring multiple obligations, the court denied the request for an interlocutory appeal stating: "Interlocutory appeals are not avenues for mundane disagreements with trial courts; the issues and justifications requiring appeal must be exceptional." *Wright v. Linebarger Gogan Blair & Sampson, Ltd.*, 2012 U.S. Dist. LEXIS 40948, at \*27 (W.D. Tenn. Mar. 26, 2012) (citing *In re City of Memphis*, 293 F.3d 345, 350 (6th Cir. 2002)).

Even if chassis providers are necessary and their joinder is not feasible, the Federal Rule 19(b) factors – prejudice, shaping relief, adequate relief, and alternative forum – weigh in favor of continuing the proceeding. Moreover, there is not a substantial ground for difference of opinion and an immediate appeal would not materially advance the disposition of the litigation but would only cause additional expense and delay. Therefore, this factor does not support granting leave to appeal this ruling.

### **C. Delay, Expense, Detriment to the Public Interest, or Undue Prejudice**

Respondents assert that an appeal is in the public interest to identify the scope of the proceedings and the Commission's jurisdiction, to assist third parties such as equipment providers to understand the impact, and to conserve the resources of the Commission. Motion at 6-7. Complainant argues that the public interest favors ongoing proceedings and that third parties, including the shipping public and United States consumers, will be harmed by Respondents' ongoing unlawful conduct pending appeal.

Piecemeal litigation of issues in contention is more likely to result in greater delay and expense to the parties than a complete decision presented to the Commission for review. There is no undue prejudice justifying the extraordinary step of permitting an interlocutory appeal. Moreover, the public is best served by an efficient determination of this dispute.

Respondents' argument that an appeal is necessary to prevent substantial expense to the parties is based in part on their expectation of extensive discovery, "a massive undertaking that will likely entail the production of millions of pages of documents and innumerable depositions." Motion at 5. While Respondents are unlikely to prevail on their arguments regarding lack of subject matter jurisdiction or indispensable parties, the parties are encouraged to consider other ways to limit the time and expense of the proceeding.

### III. REQUEST TO STAY AND SCHEDULE

Because the motion for leave to file an interlocutory appeal is denied, the request to stay pending an interlocutory appeal is denied as moot. The December 7, 2020, order granting Respondents' extension of time to file an answer indicated that revised deadlines for responding to the complaint and filing a joint status report would be provided in the order ruling on the motion for leave to file an interlocutory appeal.

The parties are encouraged to identify ways to limit the time and expense associated with this proceeding. Specifically, the parties are instructed to discuss whether there are facts to which they could stipulate, whether it would be helpful to initially limit discovery (for example to a limited geographic area or time period), and whether it would be helpful to conduct limited discovery prior to filing a motion seeking summary decision, with additional discovery permitted if the motion is denied. These issues should be addressed in the joint status report and proposed schedule required by the initial order.

Respondents shall file their response to the complaint by February 18, 2021, and the parties shall file a joint status report with proposed schedule by March 1, 2021, as required by the initial order.

### IV. ORDER

For the above-stated reasons, it is hereby **ORDERED** that Respondents' motion seeking leave to file an interlocutory appeal and a stay be **DENIED**. Respondents shall file their response to the complaint by February 18, 2021, and the parties shall file a joint status report with proposed schedule by March 1, 2021, as required by the initial order.



---

Erin M. Wirth  
Chief Administrative Law Judge